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Malawi Financial Market Update

Week ending 24 June 2022

Financial Market Update: Week ending 24 June 2022

Foreign currency market and other market developments (Source: RBM, MSE, MERA, AHL)

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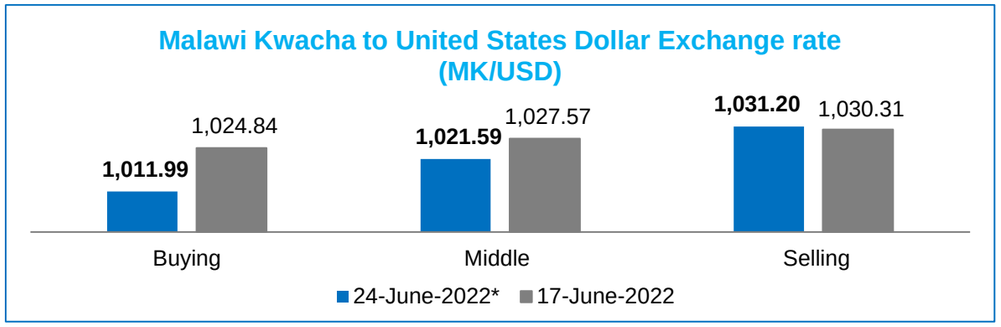
Effective from 23 June 2022, the Malawi Energy Regulatory Authority (MERA) revised the fuel pump prices for petrol, diesel and paraffin upwards. The fuel pump prices have been revised by 44.92%, 30.61% and 29.29% for petrol, diesel and paraffin, respectively.

Year-to-date, the Malawi Kwacha has depreciated against the United States Dollar by 24.69%.

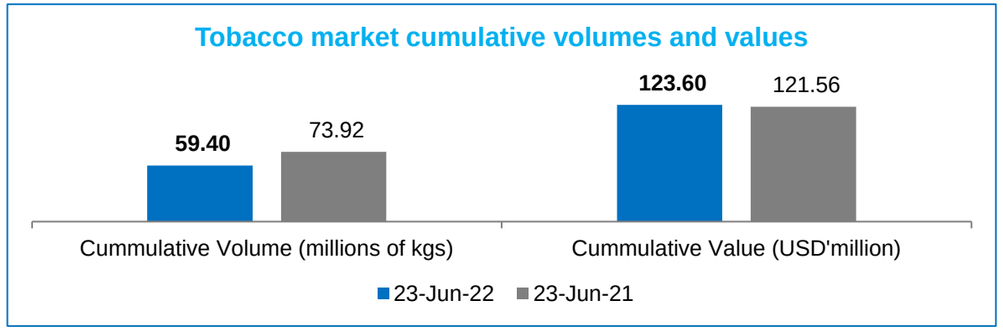
Week-on-week, the Malawi Kwacha marginally appreciated against the USD by 0.58% at MK1,021.59/USD as of 24 June 2022 from MK1,027.57/USD as of 17 June 2022.

The cumulative value of tobacco sold as of 23 June 2022 was USD123.60 million, an increase of 2% from a cumulative value of USD121.56 million sold as of 23 June 2021.

Foreign currency (Source: RBM)



Tobacco Market Sales (Source: AHL)

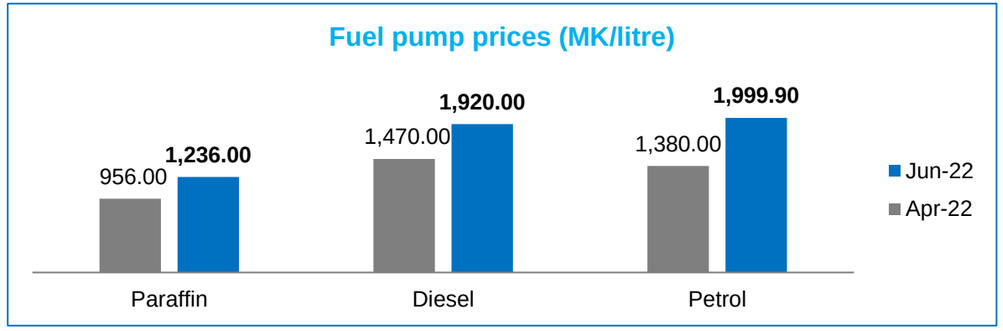


Annual General Meetings

Company	Venue	Date	Time
FDH Bank	Protea Ryalls Hotel (Blantyre)	27 June 2022	09:00 hrs
NBS	Protea Ryalls Hotel (Blantyre)	28 June 2022	14:30 hrs
AIRTEL	Virtual (Zoom)	30 June 2022	10:00 hrs
TNM	Sunbird Mount Soche	1 July 2022	14:00 hrs

**: Reserve Bank of Malawi opening exchange rates as of 24 June 2022*

Fuel pump price revision (Source: MERA)



What Happened this Week

1. According to the Malawi Energy Regulatory Authority (MERA), effective 23 June 2022, the pump prices for petrol, diesel and paraffin were revised upwards by 44.92%, 30.61% and 29.29% respectively. The prevailing prices will be MK1,999.90/litre for petrol, MK1,920.00/litre for diesel and MK1,236.00/litre for paraffin (*MERA, 22-Jun-22*).

2. According to their summary audited results for the year ended 31 December 2021, Press Corporation Plc closed the year with a profit after tax of MK45.13 billion, an increase of 126% from MK19.97 billion in the previous year (*The Nation, 22-June-22*).

3. The Malawi Agricultural and Industrial Investment Corporation (MAIIC) has approved a MK100 million loan to Kambeu Organic Fertiliser Investments. The firm produces fertilizer from local raw materials and is expected to use the loan to purchase a machine that will boost production (*The Nation, 21-June22*).

4. The World Bank, through the International Development Association (IDA), has approved an additional USD45 million (MK45.5 billion) for the implementation of the Lilongwe Water and Sanitation Project (LWSP). Lilongwe Water Board is implementing the project, whose initial financing was USD100 million. The approval of the additional funds brings the total project financing to USD145 million (*The Daily Times, 21-June-22*).

5. The International Finance Corporation (IFC) has expressed willingness to support the growth of small and medium enterprises (SMEs) to enable them to grow into large corporations. The development is part of the IFC's Malawi Private Sector Diagnostic Initiative that focuses on supporting the country's private sector to grow (*The Nation, 23-June-22*).

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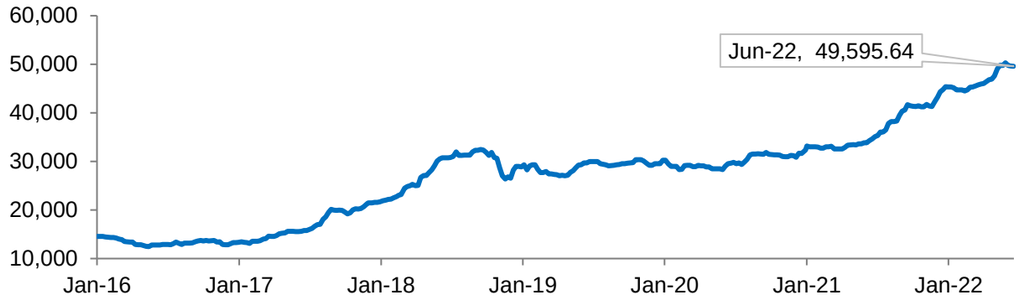
Stock market (Source: MSE)

The stock market was marginally bearish over the period with the Malawi All Share Index (MASI) closing the week ending 24 June 2022 at 49,595.64 points from 49,644.80 points for the week ending 17 June 2022. Week-on-week, this represents a decrease of 0.10%.

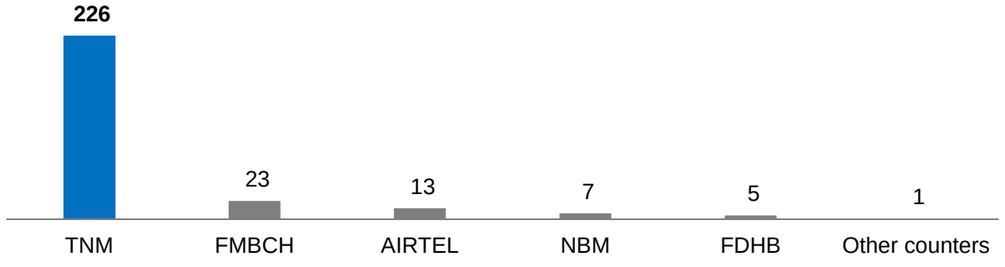
There was a share price loss for FDH Bank. The share price loss offset marginal share price gains for AIRTEL, NITL and NBM during the period under review.

Malawi All Share Index (MASI)

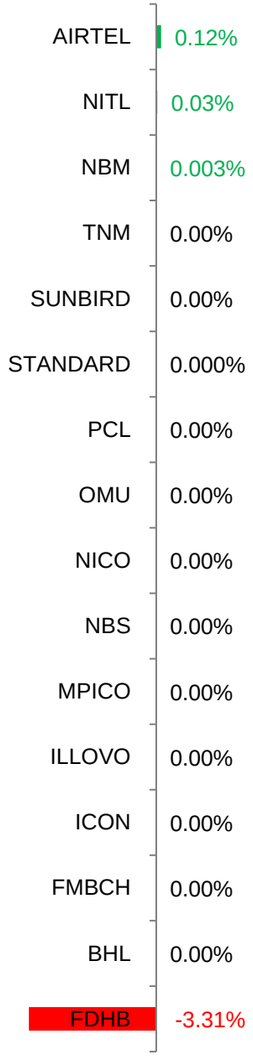


MASI year-to-date return – the MASI closed the week with a year-to-date return of 9.32% (it was 6.87% during the same period in the previous year).

Value of shares traded (MK'million) – TNM had the highest value of shares traded during the period under review at MK226 million. The total value of shares traded this week was MK275 million.



Week-on-week share price gains/losses (%)



Symbol	Closing prices as of 24 June 2022 (MK/share)
AIRTEL	48.66
BHL	11.01
FDHB	14.00
FMBCH	127.99
ICON	12.00
ILLOVO	305.53
MPICO	20.70
NBM	1,000.23
NBS	22.77
NICO	46.75
NITL	110.03
OMU	1,600.00
PCL	1,900.00
STANDARD	1,600.03
SUNBIRD	80.01
TNM	14.00

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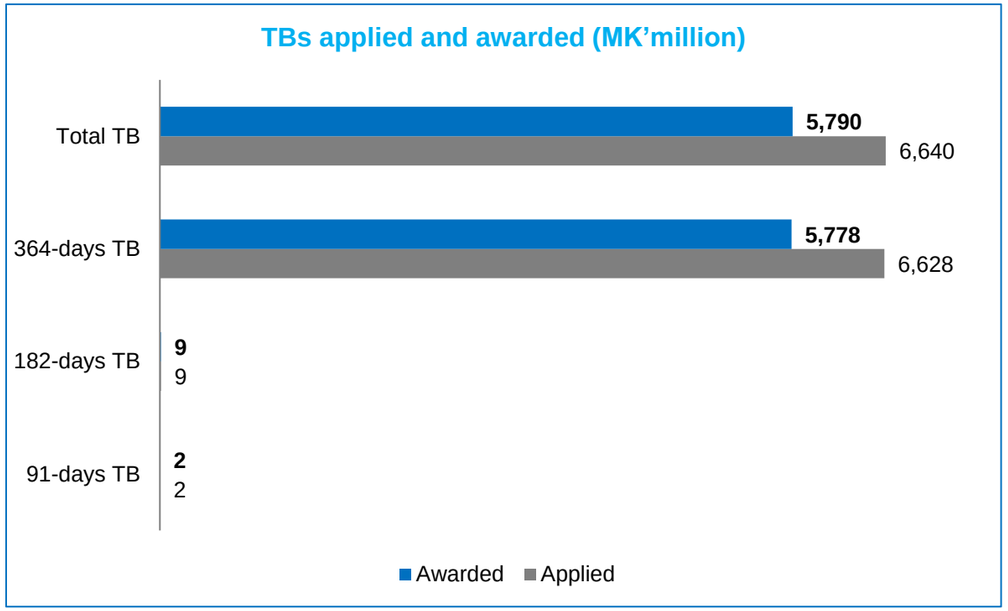
Government securities (Source: RBM)

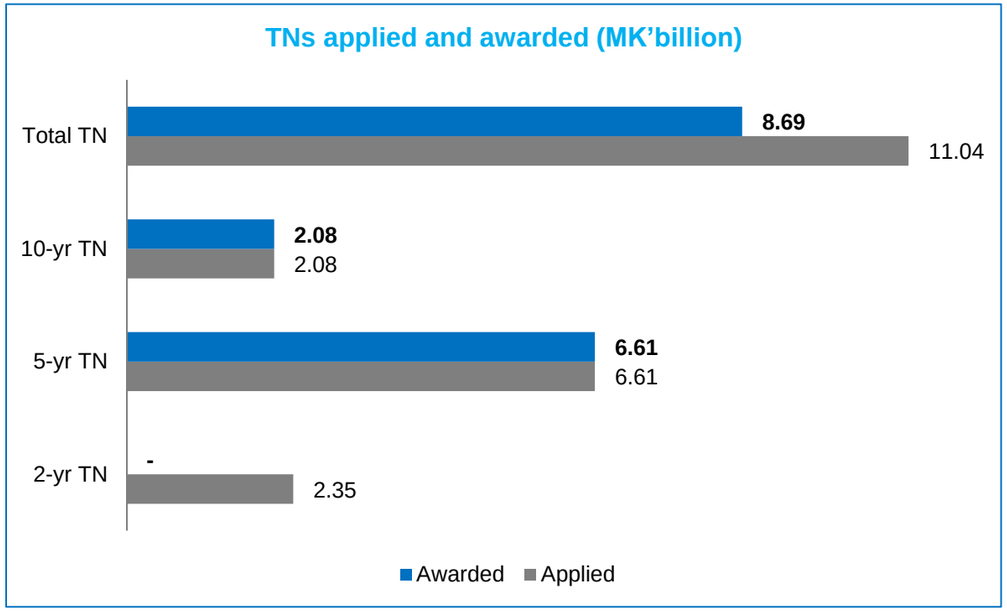
A total of MK14.48 billion was awarded on Tuesday's auctions of Treasury Bills (TBs), 2-year, 5-year and 10-year Treasury Notes (TNs).

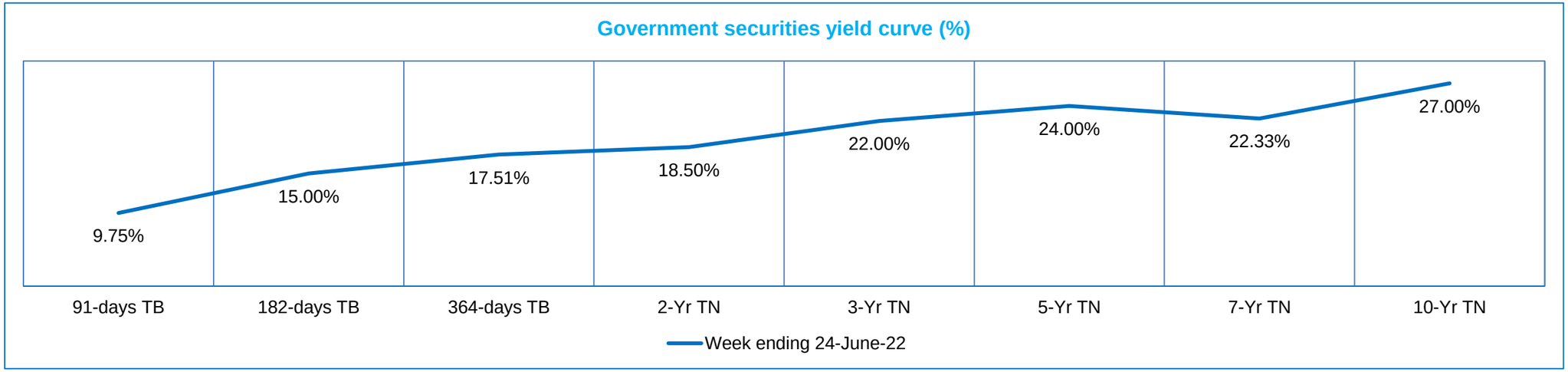
MK5.79 billion and MK8.69 billion was awarded in the TBs and TNs auctions, respectively.

The 2-year TN had a rejection rate of 100% as applications worth MK2.35 billion were all unsuccessful. Overall, the TBs auctions had a rejection rate of 13% and TNs auctions had a rejection rate of 21%.

The average TB yield increased to 14.09% from 14.08%, while the average TN yield increased to 22.77% from 22.67% during the period under review.







TB: Treasury Bill
TN: Treasury Note
Yr: Year

Appendix 1: Historical Economic Indicators

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	Jan-21	Feb-21	Mar-21	Apr-21	May-21	Jun-21	Jul-21	Aug-21	Sep-21	Oct-21	Nov-21	Dec-21	Jan-22	Feb-22	Mar-22	Apr-22	May-22	Week ending 24 June 2022
Exchange rates (middle rates)																		
MK/USD	776.49	787.03	790.30	797.66	800.17	811.95	817.43	820.40	822.17	821.34	822.88	818.44	822.81	822.10	823.60	823.67	1,029.90	**1,021.59***
MK/GBP	1,107.24	1,140.90	1,139.62	1,164.37	1,191.58	1,192.94	1,203.74	1,196.67	1,168.72	1,201.21	1,194.23	1,208.01	1,211.73	1,283.92	1,214.22	1,150.18	1,380.71	**1,290.88***
MK/EUR	991.78	1,006.72	993.04	1,035.48	1,042.52	1,032.04	1,048.56	1,044.60	1,026.14	1,037.74	1,099.91	1,138.47	1,072.50	1,170.30	1,031.32	966.40	1,180.96	**1,097.82***
MK/ZAR	54.60	55.69	56.13	59.33	62.28	61.42	60.79	60.90	58.90	59.04	57.21	57.68	61.82	64.84	66.90	59.34	72.04	**65.06***
Foreign Exchange Reserves																		
Gross Official Reserves (USD'mn)	502.98	483.38	410.16	392.01	414.41	424.99	404.18	604.50	521.87	405.66	389.26	429.17	399.98	385.40	374.48	363.27	388.22	N/A
Private Sector Reserves (USD'mn)	358.29	340.50	342.58	392.61	369.64	388.78	405.79	389.47	386.05	384.75	404.81	425.52	424.49	407.22	391.49	362.84	401.13	N/A
Total reserves (USD'mn)	861.27	823.88	752.74	784.62	784.05	813.77	809.97	993.97	907.92	790.41	794.07	854.69	824.47	792.62	765.97	726.11	789.35	N/A
Gross Official Reserves Import cover (months)	2.41	2.31	1.96	1.88	1.77	1.70	1.62	2.42	2.09	1.62	1.56	1.72	1.60	1.54	1.50	1.45	1.55	N/A
Inflation																		
Headline	7.70%	8.30%	9.40%	9.2%	8.9%	9.1%	8.7%	8.4%	8.9%	9.8%	11.1%	11.5%	12.1%	13.0%	14.10%	15.70%	19.10%	N/A
Food	9.70%	10.30%	11.70%	11.5%	11.0%	11.1%	10.3%	9.7%	10.9%	11.8%	12.8%	13.6%	14.2%	15.3%	17.10%	19.50%	25.50%	N/A
Non-food	5.60%	6.30%	6.90%	7.0%	7.1%	7.2%	7.2%	7.2%	7.2%	7.8%	9.5%	9.5%	9.6%	10.1%	10.50%	12.20%	13.20%	N/A
Interest Rates																		
Monetary Policy rate	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%	14.00%	**14.00%**
Average Interbank rate	11.34%	10.67%	11.37%	11.72%	13.36 %	11.94%	11.96%	11.98%	11.98%	11.98%	11.98%	11.98%	11.15%	11.70%	11.70%	11.70%	11.84%	**12.50%**
Average base lending rate	12.10%	12.00%	11.90%	12.10%	12.10%	12.20%	12.20%	12.20%	12.20%	12.20%	12.20%	12.20%	12.20%	12.20%	12.20%	12.20%	13.50%	**14.20%**
Government Securities' Yields																		
91-days Treasury Bill	9.95%	9.95%	9.95%	9.88%	9.98%	9.62%	9.33%	9.60%	9.59%	9.60%	9.58%	9.70%	9.70%	9.47%	9.74%	9.57%	9.75%	**9.75%**
182-days Treasury Bill	12.59%	12.80%	12.80%	12.77%	12.80%	12.81%	12.96%	12.96%	12.98%	12.98%	12.98%	13.00%	13.00%	12.99%	13.00%	13.00%	15.00%	**15.00%**
364-days Treasury Bill	13.64%	13.77%	13.80%	13.80%	13.83%	13.87%	12.06%	14.08%	14.20%	14.20%	14.22%	14.47%	15.00%	15.00%	15.00%	15.00%	17.03%	**17.51%**
2-year Treasury Note	16.50%	16.50%	16.50%	16.50%	16.51%	16.65%	16.63%	16.63%	16.63%	16.64%	16.64%	16.66%	16.70%	16.70%	17.00%	17.00%	18.50%	**18.50%**
3-year Treasury Note	18.56%	18.66%	18.66%	18.80%	18.80%	18.97%	19.00%	18.99%	18.99%	18.99%	19.00%	19.05%	19.04%	19.33%	19.50%	19.50%	21.90%	**22.00%**
5-year Treasury Note	19.95%	19.97%	19.98%	19.98%	19.98%	20.08%	20.00%	20.09%	20.26%	20.44%	20.53%	20.54%	20.78%	20.78%	21.00%	21.00%	23.95%	**24.00%**
7-year Treasury Note	20.00%	20.50%	20.50%	20.50%	20.50%	20.59%	20.98%	21.36%	21.36%	21.36%	21.15%	20.94%	20.94%	21.98%	22.00%	22.00%	22.33%	**22.33%**
10-year Treasury Note	22.50%	22.50%	22.50%	22.50%	22.50%	21.85%	22.54%	23.01%	23.25%	23.00%	22.50%	22.50%	22.98%	22.98%	22.98%	23.35%	23.35%	**27.00%**
Stock Market Indices																		
MASI	32,988.58	33,009.75	32,562.96	33,380.63	33,676.89	35,144.56	36,496.03	38,945.62	41,550.15	41,458.37	41,565.98	45,367.68	44,501.63	45,472.09	45,921.23	46,934.16	50,300.44	**49,595.64**
DSI	28,090.02	28,108.19	27,710.72	28,257.89	28,376.03	28,739.26	29,749.56	31,959.22	34,266.54	34,188.36	34,284.11	37,061.70	36,322.34	37,186.63	37,584.34	37,283.40	39,037.30	**39,010.38**
FSI	1,613.58	1,614.45	1,614.33	1,844.72	2,030.51	3,234.45	3,479.97	3,479.97	3,450.70	3,450.25	3,450.24	4,223.15	4,183.22	4,182.23	4,184.71	5,720.11	7,305.55	**6,539.01**

**: Reserve Bank of Malawi opening exchange rates as of 24 June 2022*

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